Nosebleed Sports LLC – Founder Summary

This is the plain-English version of the founder closing binder. The Operating Agreement (document 01) controls if anything here reads differently.

What you are signing

Five documents need your signature: the Operating Agreement, the Organizational Consent, the Fair Market Value Memorandum, your Restricted Unit Purchase and Issuance Agreement, and the Founder PIIA (IP and confidentiality). If you are an owner of JGN Media LLC you also sign the JGN Member Consent. Everything else in the binder is a company record that Nick signs.

Who owns what

Member	Role	Units	Share of all 10,000,000 units	Share of votes
Nicholas Restivo	CEO	2,000,000 Class A	20%	25.316%
Christian Clark	CTO	2,000,000 Class A	20%	25.316%
Gabriel DiDario	CMO	1,300,000 Class A	13%	16.456%
Stephen Bickel	CIO	1,300,000 Class A	13%	16.456%
Michael Del Bene	CDO	1,300,000 Class A	13%	16.456%
Brock Smith	Co-founder (talent)	150,000 Class B, non-voting	1.5%	none
Reserved for strategic partners		1,950,000 unissued	19.5%	none

The "share of all units" column counts the 1,950,000 reserved units as if they were already issued. Until they are, each of us owns a bit more of what exists (Nick 24.845% of the 8,050,000 outstanding units, each 13% holder 16.149%, Brock 1.863%).

What you pay

$0.001 per unit, in cash, into the company bank account: $2,000 for a 20% holder, $1,300 for a 13% holder. $7,900 in total. That is the whole price; your past work is not the price and does not change your units. Brock pays nothing; his units are a profits interest under his talent agreement and he does not sign.

Vesting

Half of your units are yours on closing day. The other half vest monthly over 48 months while you keep working with the company (20,833 a month for a 20% holder, 13,541 for a 13% holder). If you leave, the company buys back whatever has not vested for what you paid ($0.001 a unit) or less. Vested units are never taken away, but if you quit voluntarily, are removed for cause, or compete, the company can buy them at fair

value, with no discounts. If a buyer fires you without cause within a year of a sale, half your unvested units vest at once.

Votes

Every decision needs yes votes from holders of 75% of the voting units. Silence never counts as a yes. In practice that means both Nick and Christian plus at least two of Gabriel, Stephen and Michael. Brock's units do not vote.

JGN Media LLC

JGN (owned by Nick, Gabriel, Stephen and Michael) built and paid for everything so far and owns the Nosebleed Sports brand and the social accounts. At closing JGN hands the app, website, Discord and code to the company, licenses the brand to the company exclusively and forever for the app, site, community and paid picks, promises to promote the platform through the socials, and keeps funding the company until it can fund itself. JGN's money is a no-interest loan to the company that gets repaid only when the company can afford it or when it is sold. No founder owes JGN anything personally. The brand and the followers stay with JGN.

Your duties

Do your lane (Section 4.2 of the Operating Agreement), attend the weekly sync and the quarterly review, and answer company business in the Discord or the text group within two business days. Everything you build for the platform belongs to the company. Keep company information confidential, use company accounts for company work, and never change a credential or API key without Christian's approval.

Non-compete

For 12 months after you leave, you cannot build or work on a paid picks product, or a sports app or community that makes its money from paid picks. You can still run media brands, social accounts, free sports content, sell ads and sponsorships, work on TLNT Connect or any software or agency business, and be a creator.

Taxes

The company is a partnership for tax; you will get a K-1 each year. You buy at fair value, so there is no tax on the purchase. Ask your own tax adviser about an 83(b) election within 30 days of closing. The company does not give tax or legal advice.

Closing day

Sign, pay into the bank account, get your receipt. The closing date is the day the last signature and the last payment are in. If that has not happened within 120 days of the first signature, payments are refunded and we start again.